

Group Project Assignment: Money & Banking for Econ UG 3rd Year

General Instructions: Being in your group of a maximum of 5 members, answer each of the following five cases in **handwriting**. Note: A Computer printout could not be accepted under any circumstances.

Deadline: On or **before Thursday, December 11, 2025;** the class presentation could be arranged in the meantime.

Case 1: Mobile Banking Adoption in Rural Ethiopia

Scenario: Commercial Bank of Ethiopia (CBE) launched mobile banking in rural areas, but adoption is low. Farmers prefer cash transactions, and only 49% of adults have accounts, with 7% using digital payments.

Instructions:

- Explain why financial inclusion matters for Ethiopia's economy.
- Identify 3 barriers to mobile banking adoption in rural Ethiopia.
- Suggest two practical solutions (e.g., financial literacy programs, agent banking).
- Discuss benefits for customers and the bank.

Required: 3-page report and classroom presentation

Case 2: Inflation and Monetary Policy in Ethiopia

Scenario: Ethiopia's inflation dropped to 11.7% in Oct 2025 from 26% in 2024. The National Bank of Ethiopia (NBE) wants to keep inflation low using tools like open market operations, reserve requirements, and discount rate.

Instructions:

- Define inflation and why high inflation is harmful.
- Describe two monetary policy tools NBE can use to control inflation.
- Give an example of how changing reserve requirements affects banks and customers.
- Discuss one possible side effect of tight monetary policy.

Required: Short essay (2–3 pages) and classroom presentation

Case 3: Credit Creation and Its Impact

Scenario: A customer deposits ETB 100,000 in Awash Bank. The reserve requirement is 10%. Students must calculate how much money the banking system can create through credit and discuss its impact on the economy.

Instructions:

- Calculate the money multiplier and total credit created.
- Explain how credit creation supports economic growth.
- Discuss one risk of excessive credit creation (e.g., inflation).

Required: Calculation sheet with a 1-page explanation classroom presentation

Case 4: Ethiopian Securities Exchange Basics

Scenario: The Ethiopian Securities Exchange (ESX) launched in January 2025 and listed companies like Wegagen Bank and Gadaa Bank. However, most people don't understand how stock markets work.

Instructions:

- Explain the difference between primary and secondary markets.
- Give two benefits of ESX for Ethiopia's economy.
- Suggest one way to educate the public about investing in ESX.

Required: 2-page write-up classroom presentation

Case 5: Role of Banks in Financial Inclusion

Scenario: Despite progress, financial inclusion in Ethiopia is 49%, and mobile money usage is only 9.5%. Banks want to close this gap.

Instructions:

- Define financial inclusion and why it matters.
- Identify two roles banks play in promoting inclusion.
- Suggest one innovative solution (e.g., mobile wallets, agent banking).

Required: 2-page write-up and classroom presentation